Special Investigations Unit (SIU) Fraud Detection Guidelines

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FICTIONAL DOCUMENT - created for a software demonstration. Cardinal Ridge Insurance Group does not exist. Legal and regulatory content is simplified and is NOT legal advice.

1. Purpose

Insurance fraud raises premiums for every policyholder. These guidelines describe the red flags that trigger referral to the Special Investigations Unit and how to handle a referral lawfully. A red flag is a reason to investigate, never proof of fraud.

2. Red-flag scoring model

The claims system scores every claim from 0 to 100. Points are added for each flag that applies:

Red flag	Points
Loss within 30 days of policy inception (31-60 days)	20 (10)
Reported more than 30 days after the loss (more than 14 days)	15 (8)
Amount within 5% below a settlement-authority threshold	15
Claim at or above 90% of the coverage limit	10
Round-dollar amount of 5,000 USD or more	5
3 or more other claims by the customer in 24 months (2 claims)	20 (10)
Vendor linked to 3 or more SIU cases (1-2 cases)	20 (10)
Two or more address changes in 12 months	8
Policy cancelled within 30 days after the loss	10
No witnesses and no police report	8

Bands: 50 or more = HIGH (refer to SIU before any payment); 25-49 = MEDIUM (supervisor review and extra documentation); below 25 = LOW (normal handling).

3. Organised vendor rings

Typical pattern: a body shop, restoration contractor or clinic submits many claims of similar size just below a settlement-authority limit (for example 9,200-9,980 USD against the 10,000 USD junior limit), is new to the network, and is linked to several SIU cases. Handlers must check the vendor history before approving any claim that involves such a vendor.

4. Referral procedure

• Refer within 2 business days of the HIGH score; document the red flags in the file.

• Do not tell the policyholder that fraud is suspected. Send an acknowledgement and, if needed, a reservation-of-rights letter.

• State prompt-payment clocks continue to run during an investigation: send written extension / status letters as the state requires.

• SIU may request recorded statements, examinations under oath, medical or repair records, and ISO ClaimSearch reports.

• Where fraud is substantiated, SIU files the state fraud-bureau report within the statutory deadline (typically 30-60 days).

5. Outcomes

• Cleared: claim returns to the adjuster; paid within the remaining state clock.

• Denied for misrepresentation: denial letter approved by Coverage Counsel.

• Referred to law enforcement / state fraud bureau: handled only by SIU leadership.

6. Privacy and fairness

Investigations must follow privacy law (see the Privacy & Data Protection Policy) and must not use protected-class characteristics. Scores and flags are decision support: a human must make every referral and denial decision.